

200 GOLFZON BAYS IN VIRGIN ACTIVE CLUBS: IS THE CAPITAL WORTH IT?

Yes, on the base case and on the low case. R180m of bays financed 90% by RMB pays for itself from bay EBITDA in 2030 and covers its own debt 2.6 times over at maturity. Get Lucky Golf's equity exposure is R9m in the base case and R25m in the low case, against cash after debt of R224m by 2032. Virgin Active earns R37m a year for no capital. The whole case rests on one number: booked hours a bay a day.

R180M Capex, 200 bays in 130 clubs, 2027–29	R162M RMB facility, prime + 1.5%, 12 months interest-only then 60 amortising	R9M Equity needed, base case (low R25m)	R112M EBITDA 2031 at 58% margin on R191m revenue	2.6× Debt cover 2031, base (low 1.7×	47% Unlevered project IRR, six years, no terminal value
---	--	---	--	--	---

THE OPPORTUNITY

A ten-year exclusive concession to put two Golfzon bays in 70 Virgin Active clubs and one in 60 smaller clubs, booked like padel at R360 to R520 an hour, with a R299 a month golf add-on on the member bill. Get Lucky Golf owns and runs the bays. RMB finances the equipment against the bays and the concession. Virgin Active provides the room and 623,000 members and takes 20% of bay revenue. Virgin Golf is the concept name; the Virgin marks stay Virgin's.

WHY THE CAPITAL IS WORTH IT

- A bay repays itself in under two years.** A metro Play bay costs R842k landed and earns R526k of EBITDA at five booked hours a day, R324k after RMB. Golfzon's own venue guidance is ten hours a day at \$50; the base case is half the hours at a third of the rate.
- The chain earns R439m of EBITDA in six years** on R180m of capex, and pays RMB R197m of interest and capital out of that. Unlevered project IRR is 47% with no terminal value; 2032 EBITDA of R112m is what a buyer would price.
- Gearing does the work.** Because bay cash flow services 90% debt from year two, Get Lucky Golf's equity is R9m, the phase-one deposit and the first half-year. Later deposits come out of bay cash. Cash after debt and deposits reaches R224m by 2032.
- Virgin Active's side is clean.** R153m over six years, R37m a year at maturity, for space inside refurbishments it has budgeted, with no capital, debt or operating cost. That is what makes the concession grantable.

WHERE IT BREAKS

Debt cover falls to 1.0× at 2.4 booked hours a bay a day (R97m revenue) and to a bank's usual 1.3× floor at 2.9 hours. The low case at 3.5 hours still covers 1.7× but needs R25m of equity to get through 2028, when phases one and two are ramping and 140 bays are being serviced on part-year revenue. That ramp gap, not maturity, is the financing risk.

RISKS THAT MATTER

- Use.** Every other line is small. Padel at R400 an hour and the Point's existing simulator are the evidence; the reference zone in Johannesburg in 2027 is the proof, before phase two is drawn.
- The two posts.** Giving Virgin Active 25% costs about R9m a year of EBITDA at maturity; building the shell ourselves adds R30m of capex and R6m of equity. Every combination still services RMB except 25% and we build, at 1.3× on the low case.
- Platform.** Virgin Active's two existing bays are TrackMan. Standardising the chain on Golfzon is the pitch; Golfzon pricing is indicative until the October quote.
- Brand.** The Virgin name is theirs to grant. The economics do not depend on it; the door does.
- Equity source.** R9m to R25m: the Get Lucky round, a co-investor, Golfzon supplier credit or a naming partner paid up front. RMB will ask first.

A BAY AT MATURITY	SIGNATURE	PLAY	PRACTICE
Landed and installed	R1,443k	R842k	R529k
Booked hours a day	6.0	5.0	4.5
Revenue	R1,400k	R909k	R653k
To Virgin Active, 20%	R275k	R177k	R126k
EBITDA	R858k	R526k	R353k
Margin	61%	58%	54%
RMB instalments	R347k	R202k	R127k
Cash after debt	R511k	R324k	R226k
Payback from EBITDA	1.7 yrs	1.6 yrs	1.5 yrs

BASE CASE	2027	2028	2029	2030	2031	2032
Bays live	40	140	200	200	200	200
Revenue	R15m	R67m	R140m	R181m	R191m	R191m
To Virgin Active	R3m	R13m	R27m	R35m	R37m	R37m
EBITDA	R3m	R32m	R76m	R104m	R112m	R112m
RMB interest and capital	R6m	R23m	R38m	R43m	R43m	R43m
Debt cover	0.5×	1.4×	2.0×	2.4×	2.6×	2.6×
Cumulative cash, after deposits	−R9m	−R8m	R26m	R87m	R155m	R224m

THREE CASES	LOW	BASE	HIGH
Booked hours a bay a day	3.5	5.1	6.3
Revenue 2031	R138m	R191m	R236m
EBITDA 2031	R73m	R112m	R144m
Debt cover 2031	1.7×	2.6×	3.3×
Equity needed	R25m	R9m	R6m
Cash after debt and deposits, 2027–32	R65m	R224m	R356m

REVENUE MIX, 2031	RM	SHARE
Bay hire	R137m	72%
Golf add-on	R32m	17%
Insured shot	R9m	5%
Leagues and events	R8m	4%
Naming partner	R5m	3%

Sources and status: Virgin Active published figures to March 2026; Golfzon published commercial ranges and room specifications; Virgin Active padel and South African simulator venue rates, September 2026; SA prime 10.5%. Utilisation, yields, add-on take-up, cost lines and RMB terms are Get Lucky Golf working assumptions, each an input in the model workbook. Forecasts, not a guarantee. Not yet an agreement with Virgin Active, Virgin Group, Golfzon or RMB.